

COMMITTEE ON FINANCE
SENATE AMENDMENTS TO S.B. 1206
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Section 20-321, Arizona Revised Statutes, is amended
3 to read:

4 20-321. Definitions

5 In this article, unless the context otherwise requires:

6 [1. "ADJUST" MEANS TO INVESTIGATE OR NEGOTIATE THE SETTLEMENT OF A
7 CLAIM ARISING PURSUANT TO A PROPERTY AND CASUALTY INSURANCE CONTRACT.]

8 [1.] ~~[1.]~~ [2.] "Adjuster":

9 (a) Means any person who for compensation, fee or commission
10 ~~[either]~~ [DOES ANY OF THE FOLLOWING]:

11 (i) ~~[Adjusts, investigates or negotiates settlement of claims~~
12 ~~arising under property and casualty insurance contracts]~~ [ADJUSTS CLAIMS]
13 on behalf of either the insurer or the insured.

14 (ii) Holds oneself out to perform a service listed in item (i) of
15 this subdivision.

16 [(iii) DIRECTLY OR INDIRECTLY SOLICITS BUSINESS FROM, INVESTIGATES
17 OR ADVISES AN INSURED ABOUT CLAIMS ARISING PURSUANT TO PROPERTY AND
18 CASUALTY INSURANCE CONTRACTS FOR A PERSON THAT PERFORMS SERVICES PURSUANT
19 TO ITEM (i) OF THIS SUBDIVISION.]

20 (b) Does not include:

21 (i) A licensed attorney-at-law who is qualified to practice law in
22 this state.

23 (ii) A salaried employee of an insurer or of a managing general
24 agent. For the purposes of this item, "salaried employee" means an
25 employee whose compensation is not contingent on the outcome of a claim
26 determination.

27 (iii) A licensed insurance producer who adjusts or assists in
28 adjustment of losses arising under policies procured through the insurance
29 producer.

1 (iv) An employee of a political subdivision who adjusts or assists
2 in the adjustment of losses arising under policies covering the political
3 subdivision or persons indemnified by the political subdivision.

4 (v) An independent contractor retained by a licensed adjuster or a
5 person listed in items (i), (ii), (iii) and (iv) of this subdivision for
6 the sole purpose of providing technical assistance in connection with a
7 claim. Independent contractors may include photographers, estimators,
8 engineers, private detectives or handwriting experts.

9 (vi) An individual who collects claim information from or furnishes
10 claim information to insureds or claimants and who conducts data entry,
11 including entering data into an automated claims adjudication system, if
12 not more than twenty-five persons, as described in this item, are under
13 the supervision of a single licensed adjuster or licensed producer.

14 (vii) A licensed insurance producer who supervises or adjusts
15 claims pursuant to item (vi) of this subdivision.

16 (viii) Registered third-party administrators and their employees
17 who are engaged in administering accident and health or life insurance
18 claims.

19 (ix) An individual who adjusts, investigates or negotiates
20 settlement of only workers' compensation claims.

21 ~~[2.]~~ [3.] "Automated claims adjudication system" means a
22 preprogrammed computer system that is designed for the collection, data
23 entry, calculation and final resolution of portable consumer electronic
24 products insurance claims and that:

25 (a) May be used only by a licensed adjuster, a licensed producer or
26 supervised individuals operating pursuant to this paragraph.

27 (b) Must comply with all claims payment requirements under this
28 title and be certified as compliant by a licensed adjuster.

29 ~~[3.]~~ [4.] "Portable consumer electronic products" means electronic
30 devices and related accessories that are portable in nature.>>

31 Sec. 2. Section 20-321.02, Arizona Revised Statutes, is amended to
32 read:

33 20-321.02. Application of other laws

34 A. To the extent ~~permitted~~ ALLOWED by this article, sections 20-281
35 and 20-284, section 20-286, subsections B, C and D, sections 20-287,
36 20-288, 20-289 and 20-289.01, section 20-290, subsection A and sections
37 20-291, 20-292, 20-295, 20-296, 20-297, 20-299, 20-301 and 20-302 apply to
38 adjusters.

39 B. ~~[A-PUBLIC]~~ [AN] ADJUSTER MAY NOT PROPOSE OR ATTEMPT TO PROPOSE
40 TO ANY ~~[PERSON]~~ [INSURED] THAT THE ~~[PUBLIC]~~ ADJUSTER ~~[REPRESENTED THAT]~~
41 ~~PERSON]~~ [REPRESENTS THE INSURED] WHILE A LOSS-PRODUCING OCCURRENCE IS
42 CONTINUING AT THE DAMAGED PREMISES OR WHILE THE FIRE DEPARTMENT OR ANY
43 OTHER PUBLIC SAFETY SERVICE IS ENGAGED IN A PUBLIC SAFETY EMERGENCY
44 RESPONSE AT THE DAMAGED PREMISES.

1 C. ~~[A PUBLIC]~~ [AN] ADJUSTER MAY NOT PARTICIPATE EITHER DIRECTLY OR
2 INDIRECTLY, INCLUDING AS CONTRACTOR OR SUBCONTRACTOR, IN THE RESTORATION,
3 RECONSTRUCTION OR REPAIR OF ANY DAMAGED PREMISES OR PROPERTY THAT IS THE
4 SUBJECT OF A CLAIM ADJUSTED BY THE ADJUSTER.

5 [D. AN ADJUSTER MAY NOT ENDORSE PAYMENT INSTRUMENTS ISSUED TO AN
6 INSURED AS A RESULT OF A CLAIM ARISING UNDER AN INSURANCE CONTRACT WITHOUT
7 THE INSURED'S DIRECT ENDORSEMENT AND SIGNATURE.]

8 Sec. 3. Section 32-1158.02, Arizona Revised Statutes, is amended to
9 read:

10 32-1158.02. Residential construction contracts

11 A. For residential repair or replacement of damage resulting
12 directly from a catastrophic storm in a specific area that is designated
13 by an insurer, in addition to the requirements of section 32-1158, a
14 licensed contractor who enters into a contract for the repair or
15 replacement of a residential roof or other repair or replacement within
16 the scope of the regulation of this chapter with a purchaser who resides
17 in the residence or who intends to reside in the residence after the
18 completion of the contract shall include IN THE CONTRACT at least the
19 following provisions:

20 1. A statement in at least ten-point bold type in substantially the
21 following form: "You may cancel this contract at any time within
22 seventy-two hours after you have been notified that your insurer has
23 denied your claim to pay for the goods and services to be provided under
24 this contract."

25 2. A statement in at least ten-point bold type in substantially the
26 following form: "You may cancel this contract at any time, for any
27 reason, within four business days after signing this contract."

28 3. A copy of a repair estimate that contains the following
29 disclosures:

30 (a) A precise description and location of all damage claimed on the
31 repair estimate.

32 (b) For roofing repair or replacement, a detailed description of
33 the work to be done, including the square footage of the repair area or
34 the replacement area.

35 (c) If the damaged areas are not included in the repair estimate, a
36 specification of those areas and any reason for their exclusion from the
37 repair estimate.

38 (d) Whether or not the property was inspected before the
39 preparation of the estimate and the nature of that inspection,
40 specifically whether the roof was physically accessed.

41 (e) That a contractor has made no assurances that the claimed loss
42 will be covered by an insurance policy.

43 (f) That the policyholder is responsible for payment for any work
44 performed if the insurer should deny payment or coverage for any part of
45 the loss.

1 B. A residential owner of a property or casualty insurance policy
2 has the right to cancel the contract described in subsection A of this
3 section within seventy-two hours after the insured owner has been notified
4 by the insurer that the claim has been denied.

5 C. In addition to the right prescribed in subsection B of this
6 section, the insured owner of a residence has the right to cancel the
7 contract described in subsection A of this section for any reason within
8 four business days after signing the contract. A cancellation shall be
9 evidenced by the insured owner giving written notice of cancellation to
10 the contractor's address stated in the contract. Notice of cancellation
11 does not need to be in a particular form, except that the notice must
12 indicate in writing the intent of the insured owner not to be bound by the
13 contract.

14 D. Within ten days after a contract has been canceled pursuant to
15 this section, the contractor must tender to the insured owner any payments
16 made by the insured owner and any note or other evidence of indebtedness,
17 except that if the contractor has performed any emergency services, the
18 contractor is entitled to receive reasonable compensation for the services
19 if the insured owner has received a detailed description and itemization
20 of the charges for those services.

21 E. The down payment section on the execution of a contract entered
22 into pursuant to this section shall not require more than fifty ~~per cent~~
23 ~~PERCENT~~ of the total contract.

24 F. Any changes, additions or deletions to the work order specified
25 in the original contract shall be included in a written change order that
26 is signed by the homeowner.

27 G. A contractor shall immediately notify and disclose in writing to
28 the residential owner of a property or casualty insurance policy any
29 cancellation of the contractor's workers' compensation coverage.

30 H. A contractor's failure to comply with this section is grounds
31 for license suspension or revocation pursuant to section 32-1154.

32 I. An individual or contractor who prepares a repair estimate for
33 post-storm repair or replacement services as described in subsection A of
34 this section in anticipation of making an insurance claim must disclose
35 the following information to the insured owner:

36 1. A precise description and location of all damage claimed or
37 included on the repair estimate.

38 2. Documentation to support the damage claimed on the estimate,
39 including photographs, digital images or another medium.

40 3. A detailed description and itemization of any emergency repairs
41 already completed by the contractor.

42 4. If damaged areas are not included in the repair estimate, a
43 specification of those areas and any reason for their exclusion from the
44 repair estimate.

1 5. A provision stating whether ~~or not~~ the property was inspected
2 before the preparation of the estimate, if the contract is a contract for
3 repair or replacement of a roof, and whether the roof was physically
4 accessed.

5 6. A provision stating that the contractor has made no assurances
6 that the claimed loss will be covered by an insurance policy.

7 J. If an insured owner submits a claim with the insurer for
8 residential repair or replacement pursuant to this section, the contractor
9 MAY NOT ADVERTISE TO PAY, ISSUE PAYMENT FOR OR PROMISE TO PAY ANY
10 DEDUCTIBLE PAYABLE ON THE POLICY OR ISSUE ANY REBATE DEDUCTIBLE EITHER
11 DIRECTLY OR INDIRECTLY AND may not begin work on the repair or replacement
12 until the insurer approves or denies the claim, except if the work is
13 necessary to prevent further loss.

14 K. A person who is not licensed pursuant to this chapter and who is
15 not exempt from licensure pursuant to this chapter may not bring a private
16 cause of action to recover monies from a homeowner for any residential
17 repair or replacement that the person does pursuant to this section.

18 L. Except as otherwise provided in this subsection, a contractor
19 providing post-storm repair or replacement contracting services shall not
20 ALSO act AS AN ADJUSTER ON BEHALF OF THE INSURED FOR THE CLAIM, SHALL NOT
21 ACT on behalf of an insured owner in OTHERWISE negotiating for the
22 settlement of a claim for loss or damage under any policy of insurance
23 covering the insured owner's residence and shall not make any assurance
24 that the proposed repair or replacement contracting services will be
25 covered by an insurance policy. The contractor may communicate with an
26 insurer to assist in any claim disputes, including actual damages
27 incurred, if both of the following apply:

28 1. The insured owner gives the contractor permission.

29 2. The contractor is not compensated for the communication.

30 M. With a policyholder's written consent, an insurer providing
31 coverage for a post-storm residential repair or replacement may issue its
32 check in the name of both the policyholder and the contractor with the
33 contractor's license number issued pursuant to this chapter noted on the
34 check.

35 N. This section ~~shall~~ DOES not limit the following individuals from
36 contacting and negotiating with the insured owner:

37 1. A government official WHO IS engaged in the performance of
38 official duties.

39 2. An attorney WHO IS engaged in the performance of professional
40 duties.

41 3. Licensed insurers and licensed insurance producers while engaged
42 in the performance of their duties in connection with insurance
43 transactions.

44 4. Any salaried office employee WHO IS performing exclusively
45 clerical or administrative duties and who is not compensated in any manner
46 for securing contracts related to post-storm residential repair or
47 replacement contracting.

1 5. Photographers, estimators, appraisers or engineers WHO ARE
2 employed exclusively for the purpose of furnishing technical assistance.

3 6. A private investigator who is licensed pursuant to chapter 24 of
4 this title.

5 7. A full-time salaried employee of a property owner or property
6 management company who is retained by a property owner, who has not been
7 hired for the purpose of handling a specific claim resulting from a fire
8 or casualty loss and who acts at the sole discretion of the property owner
9 or management company regarding a claim related to the owner's property.

10 0. A CONTRACTOR MAY NOT PROPOSE TO ANY PERSON THAT THE PERSON SIGN
11 AN AGREEMENT FOR WORK ON ANY DAMAGED PREMISES WHILE A LOSS-PRODUCING
12 OCCURRENCE IS CONTINUING AT THE DAMAGED PREMISES OR WHILE THE FIRE
13 DEPARTMENT OR ANY OTHER PUBLIC SAFETY SERVICE IS ENGAGED IN A PUBLIC
14 SAFETY EMERGENCY RESPONSE AT THE DAMAGED PREMISES.

15 Enroll and engross to conform

16 Amend title to conform

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C: JR

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